



March 25, 2019

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Ms. Rachel Dickon, Secretary
Office of the Secretary
Federal Maritime Commission
Room 1046
800 North Capitol Street, NW
Washington, DC 20573

Re: Toyota de Puerto Rico Corp. v. Puerto Rico Ports Authority, et al.,
FMC Docket No. 19-02

Dear Ms. Dickon:

Enclosed herewith for filing in the above-captioned docket are an original and five (5) copies of the Reply of Respondent Crowley Puerto Rico Services, Inc. ("CPR") to the complainant's Opposition to CPR's Motion to Dismiss and/or for Summary Judgment.

The Reply is also being filed electronically.

A copy of this letter and its enclosure has been provided for your acknowledgment of receipt.

Sincerely,

COZEN O'CONNOR

A handwritten signature in blue ink, appearing to read "Wayne R. Rohde", written over a horizontal line.

By: Wayne R. Rohde

Enclosure

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 19-02

TOYOTA DE PUERTO RICO CORP.

COMPLAINANT

v.

**PUERTO RICO PORTS AUTHORITY; CROWLEY PUERTO RICO SERVICES,
INC. AND OCEANIC GENERAL AGENCY, INC.**

RESPONDENTS

**REPLY OF RESPONDENT CROWLEY PUERTO RICO SERVICES, INC. TO
OPPOSITION TO MOTION TO DISMISS AND/OR FOR SUMMARY
JUDGMENT**

Crowley Puerto Rico Services, Inc. ("CPR"), through its counsel, submits this reply to the Opposition of complainant Toyota de Puerto Rico, Corp. ("Complainant") to CPR's Motion to Dismiss and/or for Summary Judgment ("Opposition").

**I. THE COMPLAINT MUST BE DISMISSED FOR A LACK OF
JURISDICTION**

Complainant's arguments that CPR is an ocean common carrier over which the Federal Maritime Commission ("FMC" or "Commission") has jurisdiction misread the Commission decisions on which those arguments rely.

Moreover, Complainant's other arguments as to CPR's status and the Commission's jurisdiction are without merit.

A. The Commission Does Not Have Jurisdiction Over Domestic Commerce

As explained in CPR's motion, the Commission has no jurisdiction over carriers, such as CPR, that operate exclusively in the domestic offshore trades. Complainant misreads Commission decisions dealing with jurisdiction over marine terminal operators and argues that such precedent supports a finding of jurisdiction over CPR in this case. This is simply not correct.

The first decision that Complainant misreads is *Crowley Liner Services, Inc., et al. v. Puerto Rico Ports Authority*, 29 S.R.R. 394 (ALJ 2001). In that case, complainants challenged the lawfulness of the vessel measurement system used by respondent to assess certain charges. The respondent moved to dismiss for a lack of jurisdiction. In finding that the Commission had jurisdiction over the respondent as a marine terminal operator, the ALJ wrote:

Therefore, whether a carrier also engaged in domestic commerce as well as foreign commerce or engages exclusively in foreign commerce, once the carrier engages in foreign commerce, this Commission's jurisdiction attaches.

29 S.R.R. at 401. When one reads the foregoing in the context of the entire decision, it is clear that the ALJ's discussion relates to the attachment of jurisdiction over a marine terminal operator, rather than over an ocean carrier. This is logical, given that the statutory definition of a marine terminal operator refers to serving the foreign commerce of the United States or a combination of the foreign and domestic commerce of the United States. See 46 U.S.C.

§40102(14). In contrast, there is no reference whatsoever to domestic commerce in the definition of common carrier. See 46 U.S.C. §40102(6).

The second case misread by Complainant is *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512 (ALJ 2000), administratively final April 19, 2000. This case also involved a respondent marine terminal operator arguing that the Commission lacked jurisdiction over it. Once again, the ALJ found that since the carriers serving the terminal operated in both foreign and domestic commerce, FMC had jurisdiction over the marine terminal.

Nothing in either of the foregoing decisions supports the conclusion that the FMC has jurisdiction over the domestic operations of a carrier that operates in both the foreign and domestic commerce of the United States. In fact, when one reads the *NPR* decision closely, it is clear that the FMC has no jurisdiction over the domestic commerce of operations of carriers that operate both internationally and domestically:

...I conclude that a study of the history of the various statutory changes to the Shipping Acts indicates that the Commission retains jurisdiction over the foreign-commerce aspects of NPR's operations and relations with the Dock Board and that Congress did not intend to revive Commission jurisdiction over domestic commerce that Congress had removed from the Commission and transferred to the STB effective in 1996.

28 S.R.R. at 1522 (emphasis added).¹ Thus, even if CPR operated in the foreign commerce of the United States (which it does not), the Commission would not have jurisdiction over its domestic operations.

Stated another way, because the operations of CPR herein at issue involved only the domestic commerce of the United States, the Shipping Act is inapplicable and the Commission lacks jurisdiction. In this regard, Complainant has not produced any evidence whatsoever that any of the service it received from CPR involved the foreign commerce of the United States. Indeed, it has not disputed the sworn statement submitted in support of CPR's motion that all cargo that CPR transported for Complainant moved in the domestic commerce of the United States. Accordingly, that fact must be considered established and undisputed, and the complaint dismissed for lack of jurisdiction.

B. Services Provided To Other Shippers Are Irrelevant

Complainant's argument that CPR is an ocean common carrier by virtue of services provided to other customers is irrelevant to a determination of jurisdiction in this case.

Complainant has made no effort to demonstrate that CPR moved Complainant's cargo in the foreign commerce of the United States and, as

¹ This is consistent with the Commission's treatment of carriers who operate in the foreign commerce of the U.S. and non-U.S. trades. See, *Transpacific Westbound Rate Agreement v. FMC*, 951 F.2d 950, 953 (9th Cir. 1991)(carrier is a common carrier only to the extent that it holds itself out to provide transportation between the United States and a foreign port, and Commission has no jurisdiction over agreements between or among carriers involving transportation between non-U.S. ports, even when those same carriers also serve U.S. ports).

noted above, has conceded the truth of CPR's sworn statement that all such cargo was moved in the domestic commerce of the United States. In an attempt to establish jurisdiction despite these facts, Complainant argues that CPR provides service to other customers in the foreign commerce of the United States.

Even assuming *arguendo* that CPR provides service to other customers in the foreign commerce, this at most establishes Commission jurisdiction over CPR's foreign commerce operations.² It does not confer jurisdiction over CPR's operations in U.S. domestic commerce. *NPR*, *supra*.

C. The Burden Of Establishing Jurisdiction Falls On Complainant

The burden of establishing jurisdiction falls on Complainant, and there is no need for jurisdictional discovery.

It is well established that Complainant bears the burden of establishing Commission jurisdiction. See *Thompson v. Chrysler Motors Corp.*, 755 F.2d 1162, 1165 (5th Cir. 1985) ("The plaintiffs bear the burden of establishing the district court's jurisdiction over [defendant]."). In the event that a defendant makes a 12(b)(1) motion to dismiss, as is the case here, "courts have required the plaintiff to bear the burden of proving that jurisdiction exists." *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and*

² The schedules attached to the Opposition are the sailing schedules of Crowley Caribbean Services, LLC (Exhibit II) and Crowley Latin America Services, LLC (Exhibit III). These two entities act as ocean common carriers and are registered with the FMC as such. See <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc>. These two ocean common carriers and CPR are separate and distinct legal entities. Thus, the schedules do not support the conclusion that CPR is an ocean common carrier.

Terminal District, 30 S.R.R. 1043, 1044 (ALJ 2006); see also *St. Clair v. City of Chico*, 880 F.2d 199, 201 (9th Cir. 1989) (“It then becomes necessary for the party opposing the motion to present affidavits or any other evidence necessary to satisfy its burden of establishing that the court, in fact, possesses subject matter jurisdiction.”). Complainant has failed utterly to meet this burden by failing to offer a single fact which would establish jurisdiction over CPR.

Recognizing that it has not met this burden and that it is unable to do so, Complainant argues that it should be entitled to “jurisdictional discovery” to determine the scope of CPR’s transportation activities. This argument borders on the absurd. Complainant knows what cargo it tendered to CPR for carriage, where that cargo originated, and where it went. If any of that cargo had moved in the foreign commerce of the United States, Complainant would be able to produce documentation evidencing such movement. The fact that it has not done so and has not disputed CPR’s factual position on this issue demonstrates conclusively that CPR was acting solely in the domestic commerce of the United States when transporting Complainant’s cargo and that the Commission lacks jurisdiction over that transportation.

In light of the foregoing, the complaint must be dismissed.

II. THE ARGUMENT THAT CPR IS A MARINE TERMINAL OPERATOR IS INCONSISTENT WITH THE COMPLAINT AND MUST BE REJECTED

Complainant's assertion that CPR is a marine terminal operator represents an unauthorized and improper effort to amend the complaint and must be rejected.

Throughout the complaint, Complainant describes CPR solely as a common carrier. See ¶¶ 5, 38, 48, and 49. The complaint never alleges that CPR operates as a marine terminal operator. Only respondent Puerto Rico Ports Authority is described as a marine terminal operator in the complaint. See ¶¶ 38, 47, and 49.

Now, in an apparent attempt to overcome the lack of jurisdiction over CPR as an ocean common carrier, Complainant's Opposition alleges that CPR is a marine terminal operator over which the Commission has jurisdiction. The inclusion of new factual allegations of this type in the Opposition is highly irregular and constitutes an improper attempt to amend the Complaint without the prior approval of the Presiding Officer, contrary to 46 C.F.R. §502.66(a). Accordingly, this line of argument must be rejected.

III. SUMMARY JUDGMENT IS APPROPRIATE WITH RESPECT TO THE STATUTE OF LIMITATIONS

The Shipping Act precludes recovery of damages suffered more than three years prior to the filing of the complaint. 46 U.S.C. §41301(a). Accordingly, CPR is entitled to a summary judgment that complainant is time-

barred from recovering any ESF paid more than three years prior to the filing of the complaint.

Complainant seemingly argues that, under the co-called “continuing violation” doctrine, it may seek reparations for all alleged damages suffered even though the vast majority of these alleged damages occurred outside of the Commission’s three-year statute of limitations period. However, application of the continuing violation doctrine in such a manner would be improper for two reasons.

First, application of the continuing violation doctrine to defeat the statute of limitations is generally limited to civil rights actions under §1983 and employment discrimination cases under Title VII. See *Bennett v. Susquehanna Cty. Children & Youth Srvs.*, 592 Fed. App’x 81, 84 (3d Cir. 2014). Despite Complainant’s inaccurate characterization of certain Commission precedent as supporting its position, the fact is that the Commission has not applied the continuing violations doctrine to reparations claims brought under the Shipping Act in the manner advocated by Complainants.

One of the cases Complainants cite in support of their argument is *Maher Terminals, LLC v. The Port of New York and New Jersey*, 32 S.R.R. 1 (ALJ 2011). However, the discussion in *Maher* primarily relied upon by Complainants relates solely to the discovery rule, not to the continuing violation doctrine. 32 S.R.R. at 19-23. The continuing violations doctrine is discussed at pages 23 to 29 of the *Maher* opinion, which discussion makes clear that:

claims accruing *outside* of the limitations period *do not bar complaints* seeking reparations for claims of continuing violations *inside* the limitations period.

32 S.R.R. at 24 (emphasis in original). In other words, a complainant seeking to recover reparations for wrongful conduct which began more than three years prior to the time its complaint is filed with the Commission may do so, if the wrongful conduct continued to a point in time that is less than three years prior to the filing of complaint. However, in such case, the complainant is only entitled to reparations for injuries suffered in the three-year period which precedes the filing of the complaint.

This is confirmed by the two other cases relied upon by Complainant. In *Seatrain Gitmo, Inc. v. Puerto Rico Maritime Shipping Auth.*, 18 S.R.R. 1079 (ALJ 1979 ALJ), the ALJ held that while each alleged harm creates a new cause of action that may be brought within the applicable statute of limitations, “[d]amages for unlawful acts prior to [the two-year statute of limitations period], are, of course, barred by the statute of limitations.” 18 S.R.R. at 1082. More recently, in *In Re: Vehicle Carrier Services*, FMC Docket Nos, 16-01, 16-07, 16-10, 16-11 and 17-09 (ALJ May 7, 2018), it was held that:

The dawn raids in June 2012 triggered the statute of limitations to begin to accrue and therefore, the motion to dismiss the claim for reparations is granted for the four 2016 complaints. It does not appear from the face of the 17-09 Fiat complaint that the allegations of a continuing violations are not plausible. Therefore, at this stage, Fiat’s reparations claim will be allowed to proceed. Fiat may seek reparations for violations that occurred within three years of filing the complaint.

Initial Decision at 50 (emphasis added). Thus, the Commission has never held that a continuing violation entitles a party to reparations for an injury suffered more than three years prior to the filing of a complaint.

The other reason it would be improper to apply the continuing violation doctrine as advocated by Complainant is that the doctrine “is generally thought to be inapposite when an injury is definite, readily discoverable, and accessible in the sense that nothing impedes the injured party from seeking to redress it.” *Dziura v. United States*, 168 F.3d 581, 583 (1st Cir. 1999) (rejecting continuing violation theory in context of a taxpayer’s suit against the IRS); see also *Morganroth & Morganroth v. Norris, McLaughlin & Marcus, P.C.*, 331 F.3d 406, 417 n.6 (3d Cir. 2003) (stating that the continuing violation doctrine does not apply when the plaintiff “is aware of the injury at the time it occurred.”); *Cowell v. Palmer Tp.*, 263 F.3d 286, 295 (3d Cir. 2001) (“That is, the continuing violations doctrine should not provide a means for relieving plaintiffs from their duty to exercise reasonable diligence in pursuing their claims.”).

In this case, Complainant was well-aware of the ESF and its potential unlawfulness long before it ever filed its complaint. Complaint, ¶2. Complainant should not be permitted to avail itself of the continuing violations doctrine to recover damages for alleged injuries Complainant knew about more than three years before it filed its complaint with the Commission. Accordingly, CPR is entitled to summary judgment with respect to the application of the statute of limitations.

IV. COMPLAINANT'S ARGUMENTS WITH RESPECT TO CLAIMS UNDER VARIOUS SECTIONS OF THE SHIPPING ACT ARE WITHOUT MERIT

Complainant's response to CPR's arguments that several specific claims must be dismissed for failure to state a claim upon which relief may be granted are without merit.

A. The Claims Under §§ 41104(5) and 41104(9) Must Be Dismissed Because They Are Not Applicable To The Conduct Herein At Issue

CPR has moved to dismiss Complainant's claims under sections 10(b)(5) and 10(b)(9) of the Shipping Act, §§ 41104(5) and (9), because those provisions apply only to service provided pursuant to a service contract, and protect only ports. Since CPR is not an ocean common carrier, any arrangement it had with Complainant was not a service contract. 46 U.S.C. §40102(20). Moreover, Complainant is not a port.

Complainants reply to this argument is that the ESF herein at issue was targeted at the port (Opposition at p. 2) and that CPR is a common carrier. The latter point is addressed at length in Section I of this reply. The former point requires no response other than to say that the entity which operates the port against which the ESF purportedly discriminates is a respondent in this case.

B. The Claim Under §41104(4) Must Be Dismissed Because That Provision Is Inapplicable To The Service Provided By CPR

CPR argued that section 41104(4)(A) of the Shipping Act does not apply to the service provided to Complainant by CPR because that service was not covered by a tariff published pursuant to the Shipping Act or FMC regulations. Complainant's response to this argument is to read the phrase "pursuant to a

tariff” out of the statute and argue that this prohibition applies to conduct not covered by a tariff. This is obviously an absurd result.

In addition, the reason that the service is not covered by a tariff is that the service was provided in the domestic commerce of the United States and is not subject to the tariff publication requirements of the Shipping Act. For the same reason, the service is not subject to the prohibitions set forth in Section 41104(4) of the Shipping Act.

V. CONCLUSION

For the foregoing reasons, the complaint should be dismissed in whole or in part, and/or summary judgment granted in favor of respondent CPR.

Respectfully submitted,



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March 25, 2019

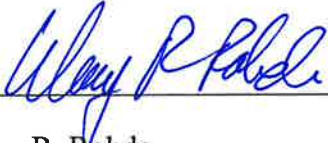
CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 25th day of March, 2019, a true and correct copy of the foregoing Reply of Respondent Crowley Puerto Rico Services, Inc. To Opposition to Motion to Dismiss and/or for Summary Judgment was served via email on:

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